

Cascade Valley Wholesale Foods — Quantitative Diligence

Memo

Prepared for: Buy-Side Diligence File | September 16, 2026 | Industry benchmark set: Wholesale / Perishable Distribution

Uses synthetic data modeled on a small wholesale food distributor; no client or employer data included. See data/synthetic/clean_co/.

OVERALL FLAG: GREEN

Governing Thought

Cascade Valley Wholesale Foods clears the quantitative checks run in this pass with no red or yellow flags outstanding. On the numbers: FY2024 revenue of \$9,600,000, gross margin 24.4%, and Adjusted EBITDA of \$852,000 (8.9% margin).

Flag Summary (Situation → Complication → What It Means)

No rules-based anomalies cleared threshold across the reviewed periods. This is a clean read against the checks run, not a certification -- it does not replace confirmatory procedures (bank confirmations, legal search, customer/vendor calls).

Financial Snapshot

Metric	FY2022	FY2023	FY2024
Revenue	\$8,200,000	\$8,850,000	\$9,600,000
Gross margin	24.0%	24.2%	24.4%
EBITDA	\$646,200	\$723,300	\$812,000
EBITDA margin	7.9%	8.2%	8.5%
Adjusted EBITDA	\$676,200	\$758,300	\$852,000
Adjusted EBITDA margin	8.2%	8.6%	8.9%
Net income	\$496,200	\$573,300	\$661,000
Working capital	\$1,456,424	\$1,557,207	\$1,725,943
Operating working capital	\$1,156,424	\$1,204,207	\$1,304,943
Current ratio	2.90x	2.89x	2.95x
DSCR (Adj. EBITDA basis)	4.17x	4.77x	5.46x

Quality-of-Earnings Addback Worksheet

Adjusted EBITDA below reflects only the addbacks with a documented, itemized rationale. Related-party expense is intentionally excluded from this worksheet and handled instead as a flag requiring verification -- see Flag Summary.

FY2022

Line	Amount	Confidence / Rationale
EBITDA	\$646,200	Net income + interest + tax + D&A

Owner/officer compensation above market replacement rate	\$30,000	[requires verification] Owner compensation of \$150,000 exceeds the assumed market replacement rate of \$120,000 by \$30,000. Addback assumes a new operator would be paid at market rate; confirm against a role-specific compensation benchmark before relying on this number.
Adjusted EBITDA	\$676,200	Adjusted EBITDA margin: 8.2%

FY2023

Line	Amount	Confidence / Rationale
EBITDA	\$723,300	Net income + interest + tax + D&A
Owner/officer compensation above market replacement rate	\$35,000	[requires verification] Owner compensation of \$155,000 exceeds the assumed market replacement rate of \$120,000 by \$35,000. Addback assumes a new operator would be paid at market rate; confirm against a role-specific compensation benchmark before relying on this number.
Adjusted EBITDA	\$758,300	Adjusted EBITDA margin: 8.6%

FY2024

Line	Amount	Confidence / Rationale
EBITDA	\$812,000	Net income + interest + tax + D&A
Owner/officer compensation above market replacement rate	\$40,000	[requires verification] Owner compensation of \$160,000 exceeds the assumed market replacement rate of \$120,000 by \$40,000. Addback assumes a new operator would be paid at market rate; confirm against a role-specific compensation benchmark before relying on this number.
Adjusted EBITDA	\$852,000	Adjusted EBITDA margin: 8.9%

Anomaly Detail

No flags to detail.

Benchmark Positioning

Ranges are compiled from publicly available small-business benchmarking sources (RMA Annual Statement Studies category medians, IBISWorld-style industry reports) and are directional only. Being outside a range is context, not automatically a flag.

Metric	Company (latest FY)	Benchmark low	Benchmark high	Position
gross margin	24.4%	18.0%	32.0%	within range
ebitda margin	8.5%	4.0%	11.0%	within range
current ratio	294.8%	110.0%	190.0%	above range
dso days	34 days	25 days	50 days	within range

Customer Concentration

FY	Top customer %	Top 3 %	HHI	# Customers
2022	15.0%	35.0%	3216	5
2023	15.0%	35.0%	3216	5
2024	15.0%	35.0%	3216	5

Methodology and Data Lineage

Source statements were parsed and mapped onto a fixed canonical chart of accounts using exact-match, fuzzy-match, and (where configured) LLM-assisted classification. 1 line item(s) across the reviewed periods were mapped with less than full confidence or require manual review; see mapping_table.csv in this run's output folder for the complete, human-auditable mapping.

The following source labels could not be confidently mapped and were EXCLUDED from the figures above pending manual review: State Franchise Tax

This memo is a quantitative first pass. It does not substitute for legal review, bank/lender confirmations, tax return reconciliation, or management interviews.

Appendix: Full Ratio Backup

Metric	FY2022	FY2023	FY2024
COGS	\$6,232,000	\$6,708,300	\$7,257,600
Gross profit	\$1,968,000	\$2,141,700	\$2,342,400
Operating expenses (incl. D&A)	\$1,428,800	\$1,535,400	\$1,657,400
Current assets	\$2,223,491	\$2,379,807	\$2,611,826
Current liabilities	\$767,067	\$822,600	\$885,883
Days sales outstanding	35	34	34
Days payable outstanding	32	32	32
Days inventory outstanding	58	57	57